Repeat the process each year for as long as you support your children. With interest rates higher than inflation, the initial CD you set aside for your children covers their needs.

Note that unless you have several very young children, the additional amount you need to retire with kids is quite small in relation to your total nest egg. In the examples above you need an extra $48,000 or $24,000, depending on how many kids you have, how old they are, and how long you plan to support them. These amounts—$48,000 and $24,000—are small change compared to the $400,000 or $500,000 you need for you. That's because your $400,000 or $500,000 has to support you and your spouse for the rest of your life. What you set aside for your kids, in contrast, has to last only until they reach age 18 or 22 or whatever. That means you can safely spend your kids' principal as you go along, without worrying about running out of money later.

PAYING FOR SCHOOL

The minimum is $4,000 a year. Once Johnny reaches age 18 or 22, you'll have exhausted the money set aside to raise him. If he wants to buy a house, travel for a year before working, or start his own business, he's on his own. Perhaps most important, there's no money for private college. A scholar friend says "the education you get is the life you lead." You want to do everything possible to see to it that Johnny gets the education that's right for him. Yet, with only $4,000 per child per year, you can hardly pay for expensive schooling.

How much more than $4,000 a year is required to cover private schools? You can easily spend $10,000 a year on a boarding school. The College Board figures that four years at a private college costs $40,000. If your child goes to Johns Hopkins, Vassar, or Williams, you can pay twice that. Your total cost per child can run to $100,000, $150,000, or more. How are you going to get that kind of money?